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Marketing, Altius

1. How is the shift toward recreational, price-sensitive golfers impacting Altius's strategy?

Previously, Altius was leading because it was introducing advanced super premium offerings in the market. However, the recent change in trends led to the decline by a total percent of 18% in 3 years from 2007 to 2010, mainly because fewer people started to play golf and people became price sensitive. There was significant reduction in participation in children and women playing the golf. At the same time, competitors like primiera, Bantam and Carlsbad seized the opportunity and took the advantage. They focused on more affordable golf balls and targeted the price sensitive market while generating the revenue from golf clubs. Even though, Altius had all the funds for not just marketing but to invest in new strategies but it failed to adapt quickly to the shift in the trend and kept addressing the price insensitive golfers. It's competitors were making the product more accessible and affordable. As demand shifts toward off course channel and low priced balls, Altius's premium only focus is declining volume in the fast growing channel even though its brand name remained strong.

2. Should Altius introduce a fighter brand to address this shift? Why or why not?

Yes, Altius should introduce a fighter brand to address this shift because Altius is known as its premium brand and customers see it as non-affordable brand specially trends are shifting towards price sensitivity for golf. Hence, Altius needs an entry level option to stay relevant. Once, it penetrates into the prince sensitive market without damaging its premium Victor TX line then Altius could merge into one. This way it will be able to gain loyal customers and introduce campaigns to reintroduce golf among lapsed golfer by making it more affordable, accessible and fun. Here, Altius should target to win the customers and gain their trust. Meanwhile it should keep working with premium golfers and keep investing in new technology since it still has strong gross margins and remains the market leader. If it penetrates through off course market and keep the margins low for fighter brand, it can compete directly with rivals and win the loyal customers. And over time they can target to migrate those customers to higher-end Victor and Victor TX line.

3. What potential long-term consequence most influences your recommendation? Which element of the Marketing Strategy Formation Framework most strongly supports it?

Potential long-term consequence which influences my recommendation the most is that Altius might lose its segment for prince sensitive and recreational golfers if they don't change their strategy and expand into the off-course channel. If Altius fails to attract these customers and earn their loyalty, it will gradually lose market share to competitors who already have strong relationships with price-sensitive golfers. In addition to this, their revenue from golf clubs making them overall have a strong position

in the market. It is very important to create value for the customers and adjust its business strategies accordingly creating a two way relationship rather than a one sided premium focus. This recommendation is strongly supported by the **Customer element from 5 C's framework** and Segmenting, Targeting and positioning (**STP**). The market has clearly shifted and Altius needs to segment customers based on price sensitivity and playing behavior. They need to understand their customer base, their concerns and why would they show interest in the product, how their Elevate program can create a value for the customers by building trust and engagement and how to make those customers brand advocates. Altius need to reposition themselves in the market. A business can only grow sustainably if it understands its customers, adapts to their needs and builds long-term relationships.